OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Annual Report 2025-26: statements in the CEO's and Mayor's messages that don't match

Sent 14 November 2026 · To Shoalhaven City Council · Response requested by 23 November 2026

OPEN LETTER

To: Mr Andrew Constance, Chief Executive Officer, and Mayor Patricia White, Shoalhaven City Council

From: Stephen Prothero, Eye on Shoalhaven Council

Date: 14 November 2026

Subject: Statements in the CEO's and Mayor's messages in the Annual Report 2025-26 (CL26.301) that do not match the report or the audited statements, and what Council will do about them

STATUS OF THIS LETTER

This is a public open letter to the Chief Executive Officer. It is published by Eye on Shoalhaven Council as a matter of public interest journalism.

It is not a complaint. It is not a complaint under Council's Complaint Handling Policy, and it is not to be registered, assessed or managed as one.
It is not a Code of Conduct complaint. It does not allege a breach of the Code of Conduct by any person, and it is not to be referred to the Complaints Coordinator, a conduct reviewer or the Office of Local Government.
It is not an access application. It is not an application under the Government Information (Public Access) Act 2009 (NSW), formal or informal, and no statutory time limit is started by it.
It is not a request for service. It does not ask Council to take action, to make a decision, or to review a decision.
It is a set of questions put to a public official in the same way a journalist puts questions to the head of an organisation. The Chief Executive may answer all, some or none of the questions, and may do so in whatever form and at whatever time he chooses. Some questions can be answered in a line and others may need work. If the Chief Executive intends to comment on any question, a short reply to this email saying so is all that is needed.

Replies will be published in full. If no reply is received, that will be recorded as it stands.

The Mayor is also addressed, because her message is covered. The same terms apply to her.

Mr Constance and Mayor White,

The Annual Report 2025-26 and the audited financial statements are on the agenda for the Ordinary Meeting on 24 November 2026 (CL26.301). I have read both messages against the full report and the audited statements. Much of what each message says is supported, and I say so below. But some statements do not match Council's own documents, and some figures are described in a way the documents do not support. I am putting them to you before the report is adopted and published, so that you can say what, if anything, you will do about them.

1. The CEO's message

• "The MRF became fully operational this year." The report's Section 1 action table (action 2.1.3.01) says processing of 100% of kerbside recycling at the MRF begins early in FY27, after a performance audit in July. The special rate variation reporting refers to the "absence of MRF trading expenses during 2025/26". The facility is shown as completed at $37.9m and was officially opened on 12 March 2026. The report supports "opened". It does not, on my reading, support "fully operational this year".
• "A surplus of $16.1m", the first positive consolidated operating result in more than five years. The audited figure is $16.128m before capital grants, and the message does not say so. The audited statements show that $13.348m of the 2026-27 Financial Assistance Grant was received in June 2026 and booked as 2025-26 income, while $8.116m of the 2025-26 grant had already been booked in 2024-25. The net effect is about $5.2m, which matches the roughly $5m in Council's own note. On a like-for-like basis the result is about $10.9m, before $10.769m of non-cash disposal losses and $0.897m of bad debts.
• Two different numbers for the same item. The executive summary describes the prepaid grant as a "$10.6M positive variance" and calls the result an "underlying operating surplus". The audited note puts the timing benefit at about $5m. The report does not reconcile them.
• What the message leaves out. The audited infrastructure ratios all fail their benchmarks: buildings and infrastructure renewals 59.07%, infrastructure backlog 4.11% (benchmark under 2.00%) and asset maintenance 84.13% (benchmark over 100%). The message does not mention them, nor the Performance Improvement Order (A998905, 19 March 2026) or the Office of Local Government's section 430 investigation.
What holds up: the $55.2m capital works total, the $26.5m for roads, footpaths and bridges, the Contributions Plan 2026 with 39 projects worth about $329m, and the acknowledgement that the General Fund remains in deficit. Borrowings also fell, from $175.96m to $141.5m.

1. The Mayor's message

• The satisfaction survey. The message cites the 2026 Community Service Satisfaction Survey. The report's headline result is overall satisfaction of 57%, down from 73% in 2023. The message does not mention it.

• Roads as the top concern. The report lists value for money from rates and responsible financial management among the top concerns, as well as roads.
• "74% agreed" on the infrastructure plan. Respondents backed building or upgrading assets 77% to 11%, but opposed selling, decommissioning or downgrading them 55% to 34%. The message does not give the split.
• "Already delivering positive results." Debt has fallen and the operating result has improved. The renewals, backlog and maintenance ratios above still fail, and the message does not mention them.
What holds up: more than 7,900 survey responses across four campaigns, the $26.5m for roads, the roughly $20m of road maintenance on the report's broad definition, and the high satisfaction with water, waste, libraries and cemeteries.

1. Questions

To the CEO.

CEO Question 1. On what date did the MRF begin processing 100% of the region's kerbside recycling, and will you release the July 2026 performance audit and the date Council accepted the facility?

CEO Question 2. If full processing began after 30 June 2026, what will you do to correct the statement that the MRF "became fully operational this year", and when?

CEO Question 3. Which figure is correct for the effect of the prepaid Financial Assistance Grant on the 2025-26 result, the $10.6m in the executive summary or the roughly $5m in the audited note? What will you do to make the report consistent?

CEO Question 4. What will you do to make clear in the report that the $16.1m is before capital grants and includes grant timing?

CEO Question 5. Why do neither the message nor the report's front section mention the failing infrastructure ratios, the Performance Improvement Order or the section 430 investigation, and will you add them?

To the Mayor.

Mayor Question 1. What will you do to include the 57% overall satisfaction result, and the 2023 comparison of 73%, in your message?

Mayor Question 2. Do you accept that value for money from rates and responsible financial management are also top concerns, and what will you do to reflect that?

Mayor Question 3. What will you do to give the support and opposition split (77% to 11% for building or upgrading, 55% to 34% against selling, decommissioning or downgrading) wherever the 74% figure is used?

I ask for a response by Monday 23 November 2026, the day before the meeting, so that any correction can be reported accurately. If any question cannot be answered, please say which and why.

I intend to publish this letter and any reply in full at steveprothero.substack.com and in the Eye on Shoalhaven Council group. If no reply is received by 23 November, I will report that plainly.

No finding of dishonesty or misconduct is made against any councillor or officer, and none is implied. The figures are drawn from the Annual Report 2025-26 Sections 1 and 2 and the audited financial statements in CL26.301. Where I have drawn an inference, such as the like-for-like figure, I have shown how it is calculated. I will correct any error promptly and with the same prominence.

Yours sincerely,

Stephen Prothero

Independent community journalist | Publisher, Eye on Shoalhaven Council

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